those of ₹10,000.

Progressive taxation helps to ensure economic equality in the society.

Table 5.2

Size of tax base	Tax rate	Tax amount
₹10,000	10%	₹1,000
₹100,000	20%	₹20,000

Here, the tax rate as well as the absolute amount of tax increases with increase in size of tax base.

Regressive taxation

If tax rate decreases with the increase in the tax base it is called regressive tax. Here those who receive income/spend/purchase worth of ₹100,000 pay lesser tax rate than that of ₹10,000.

Table 5.3

Size of tax base	Tax rate	Tax amount
₹10,000	10%	₹1,000
₹100,000	5%	₹5,000

Here the tax rate decreases but the absolute amount of tax increases with increase in size of tax base but less than that of proportional and progressive taxation.

Impact of Tax

Impact of a tax is on its first point of contact with the tax payers. It is upon those who bear the first responsibility of paying it to the authorities. In case of Income Tax, it is income recipient. In case of Sales Tax, it is seller.

Incidence of Tax